BofA SECURITIES

Asia Vital Components

Solid 3Q26 results; positive tone to 4Q26/ 2027; reiterate Buy; trim PO to NT$3,650

Reiterate Rating: BUY | PO: 3,650 TWD | Price: 2,790 TWD

3Q26: record-high GM/OPM for five straight quarters

Asia Vital Components (AVC)'s 3Q26 GM/OPM of 33.9%/28.5% hit a record high for the fifth straight quarter, exceeding BofAe of 33.0%/27.5% and consensus of 33.3%/27.9%. OP (+25% QoQ, +108% YoY) was 7%/4% above BofAe/consensus, with higher sales (+20% QoQ, +52% YoY; 3%/2% above BofAe/consensus). We attribute the results beat to solid product mix (server and networking comprised 66% of 3Q26 sales, same as 1Q-2Q26) and improving production efficiency. Despite a non-operating loss (mainly FX loss), NP was 10%/3% above consensus (Exhibit 3).

Positive tone to 4Q26/2027; ongoing capacity expansion

We expect 4Q26 sales to rise 19% QoQ and 2027 sales to grow 40% YoY, with mgmt.'s still positive tone to 4Q26/2027, mainly driven by AI liquid cooling projects. AVC indicated full support to clients' platform upgrade and shipment pipeline. It should be able to pass through the higher raw material cost. In 2027, mgmt. targets ASIC sales mix to surpass GPU. AVC also sees solid sales momentum from chassis/rack and CDU, acting as the solution provider. Mgmt. maintained 2026 capex guidance at NT$15bn and guided NT$15-20bn for 2027 (BofAe unchanged at NT$17bn), mainly for capacity expansion in Vietnam. Mgmt. now targets another 50% cold plate capacity expansion in 2027.

Trim PO to NT$3,650 for a lower P/E set-up; reiterate Buy

We lift 2026-28E EPS by 3-10%, mainly to reflect the 3Q26 results beat and higher margins, driven by ongoing server/networking project ramp-up. Yet, we cut our PO to NT$3,650 (23x 2027E EPS), with a lower P/E multiple (2SD above average since 2020; Exhibit 5) from NT$3,888 (was 27x; 3SD above) on AI supply chain's potentially higher shipment/pipeline uncertainty due to component shortage. Nevertheless, we reiterate Buy on AVC as we believe it should remain one of the key beneficiaries from rising liquid-cooling adoption and ongoing GPU/ASIC platform/spec upgrade. We also highlight solid sales/margin growth under broad product base and diversified project/client base.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	8,172	19,186	42,552	62,588	76,205
EPS	21.21	49.17	107.89	158.69	193.22
EPS Change (YoY)	50.4%	131.8%	119.4%	47.1%	21.8%
Dividend / Share	7.00	18.00	32.37	47.61	57.97
Free Cash Flow / Share	13.22	82.39	54.65	114.08	171.51
Valuation (Dec)					
P/E	131.54x	56.74x	25.86x	17.58x	14.44x
Dividend Yield	0.251%	0.645%	1.16%	1.71%	2.08%
EV / EBITDA*	79.55x	34.31x	15.90x	10.73x	8.75x
Free Cash Flow Yield*	0.465%	2.93%	1.97%	4.11%	6.17%

* For full definitions of *iQmethod℠* measures, see page 8.

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Refer to important disclosures on page 9 to 11. Analyst Certification on page 6. Price

10 November 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	3,888.00	3,650.00
2026E EPS	104.95	107.89
2027E EPS	143.99	158.69
2028E EPS	178.74	193.22
2026E EBITDA (m)	64,049.3	66,465.7
2027E EBITDA (m)	88,681.8	98,460.9
2028E EBITDA (m)	111,753.0	120,809.0

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Stock Data

Price	2,790 TWD
Price Objective	3,650 TWD
Date Established	10-Nov-2026
Investment Opinion	C-1-7
52-Week Range	1,204 TWD-3,700 TWD
Mrkt Val / Shares Out (mn)	33,252 USD / 392.7
Market Value (mn)	1,095,550 TWD
Average Daily Value (mn)	261.73 USD
Free Float	74.7%
BofA Ticker / Exchange	AVMPF / TAI
Bloomberg / Reuters	3017 TT / 3017.TW
ROE (2026E)	68.2%
Net Dbt to Eqty (Dec-2025A)	-69.8%

Acronyms, see Exhibit 8

iQprofile℠ Asia Vital Components

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	71,761	139,639	227,436	319,036	384,133
Gross Profit	16,870	36,034	74,461	109,818	133,537
Sell General & Admin Expense	(1,947)	(3,086)	(4,707)	(7,181)	(8,711)
Operating Profit	10,823	27,556	62,346	91,830	111,785
Net Interest & Other Income	1,529	1,231	465	761	759
Associates	NA	NA	NA	NA	NA
Pretax Income	12,352	28,786	62,811	92,591	112,544
Tax (expense) / Benefit	(3,159)	(7,836)	(16,667)	(25,703)	(31,240)
Net Income (Adjusted)	8,172	19,186	42,552	62,588	76,205
Average Fully Diluted Shares Outstanding	385	390	394	394	394
Key Cash Flow Statement Data					
Net Income	8,172	19,186	42,552	62,588	76,205
Depreciation & Amortization	2,463	3,246	4,119	6,631	9,024
Change in Working Capital	(7,286)	(1,315)	(10,117)	(7,227)	(7,584)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	6,284	18,298	0	0	0
Cash Flow from Operations	9,632	39,415	36,555	61,991	77,644
Capital Expenditure	(4,540)	(7,267)	(15,000)	(17,000)	(10,000)
(Acquisition) / Disposal of Investments	(226)	217	0	0	0
Other Cash Inflow / (Outflow)	(2,904)	(6,286)	0	0	0
Cash Flow from Investing	(7,669)	(13,336)	(15,000)	(17,000)	(10,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(2,683)	(3,877)	(7,024)	(12,766)	(18,776)
Cash Flow from Financing	200	2,620	(7,024)	(12,766)	(18,776)
Free Cash Flow	5,092	32,148	21,555	44,991	67,644
Net Debt	(13,445)	(35,270)	(49,801)	(82,026)	(130,894)
Change in Net Debt	(2,967)	(28,606)	(14,531)	(32,225)	(48,868)
Key Balance Sheet Data					
Property, Plant & Equipment	13,805	17,849	28,730	39,099	40,075
Other Non-Current Assets	10,008	16,111	16,111	16,111	16,111
Trade Receivables	7,767	12,133	19,433	24,996	31,459
Cash & Equivalents	29,924	58,530	73,061	105,286	154,154
Other Current Assets	38,402	55,514	71,845	92,895	111,997
Total Assets	99,906	160,137	209,180	278,387	353,796
Long-Term Debt	3,349	6,949	6,949	6,949	6,949
Other Non-Current Liabilities	4,796	5,128	5,128	5,128	5,128
Short-Term Debt	13,130	16,311	16,311	16,311	16,311
Other Current Liabilities	45,158	81,184	94,699	114,085	132,066
Total Liabilities	66,433	109,572	123,087	142,472	160,453
Total Equity	33,473	50,565	86,093	135,915	193,343
Total Equity & Liabilities	99,906	160,137	209,180	278,387	353,796
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	17.4%	30.8%	48.3%	48.3%	42.3%
Return On Equity	32.1%	52.2%	68.2%	59.6%	48.0%
Operating Margin	15.1%	19.7%	27.4%	28.8%	29.1%
EBITDA Margin	18.5%	22.1%	29.2%	30.9%	31.4%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.2x	2.1x	0.9x	1.0x	1.0x
Asset Replacement Ratio	1.9x	2.3x	3.6x	2.6x	1.1x
Tax Rate (Reported)	25.6%	27.2%	26.5%	27.8%	27.8%
Net Debt-to-Equity Ratio	-40.2%	-69.8%	-57.8%	-60.4%	-67.7%
Interest Cover	24.6x	45.5x	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 8.

Company Sector

IT Hardware

Company Description

AVC is the leading system-level thermal/cooling component maker globally. Key end markets include server, PC, smartphone. Key end clients include global CSPs, PC brands, smartphone brands. AVC was founded in 1991 and went publicly listed on Taiwan Stock Exchange on 27 Sep 2002. It is headquartered in Taiwan. Its main production sites are located in China (Shenzhen, Wuhan, Shanghai, Dongguan, Chengdu), with ongoing capacity expansion in Vietnam.

Investment Rationale

We assign a Buy rating to AVC given its leading position in thermal/cooling component and total solution strategy to ride on strong AI market demand, double-digit sales/EPS CAGR in 2026-28 with rising liquid cooling sales mix and ASP/margin increase.

Stock Data

Price to Book Value	13.7x

Exhibit 1: We lift 2026-28E EPS by 3-10%
Earnings revision summary, 2026-28

	BofA 2026E			BofA 2027E			BofA 2028E		
NT$mn	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**
Sales	227,436	222,988	2%	319,036	308,358	3%	384,133	378,016	2%
Gross profit	74,461	71,963	3%	109,818	100,631	9%	133,537	125,453	6%
Operating profit	62,346	59,930	4%	91,830	82,051	12%	111,785	102,729	9%
Pretax profit	62,811	60,739	3%	92,591	82,926	12%	112,544	103,604	9%
Net income	42,552	40,952	4%	62,588	56,186	11%	76,205	69,746	9%
EPS (NT$)	107.89	104.95	3%	158.69	143.99	10%	193.22	178.74	8%
Margin %									
Gross margin	32.7%	32.3%		34.4%	32.6%		34.8%	33.2%	
Operating margin	27.4%	26.9%		28.8%	26.6%		29.1%	27.2%	
Pre-tax margin	27.6%	27.2%		29.0%	26.9%		29.3%	27.4%	
Net margin	18.7%	18.4%		19.6%	18.2%		19.8%	18.5%	

Source: BofA Global Research estimates

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Exhibit 2: Our 2026 net income estimate is 3% above consensus while 2027-28 net income estimates are 3-7% below consensus
BofAe vs. consensus, 2026-28E

	2026E			2027E			2028E		
NT$mn	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**
Sales	227,436	221,653	3%	319,036	318,249	0%	384,133	398,035	-3%
Gross profit	74,461	71,468	4%	109,818	109,203	1%	133,537	135,474	-1%
Operating profit	62,346	59,862	4%	91,830	93,321	-2%	111,785	117,898	-5%
Pretax profit	62,811	60,719	3%	92,591	94,216	-2%	112,544	119,187	-6%
Net income	42,552	41,312	3%	62,588	64,433	-3%	76,205	81,557	-7%
EPS (NT$)	107.89	104.97	3%	158.69	163.51	-3%	193.22	207.30	-7%
Margin %									
Gross margin	32.7%	32.2%		34.4%	34.3%		34.8%	34.0%	
Operating margin	27.4%	27.0%		28.8%	29.3%		29.1%	29.6%	
Pre-tax margin	27.6%	27.4%		29.0%	29.6%		29.3%	29.9%	
Net margin	18.7%	18.6%		19.6%	20.2%		19.8%	20.5%	

Source: BofA Global Research estimates, Bloomberg consensus

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Exhibit 3: AVC's 3Q26 operating profit was 7%/4% above BofAe/consensus; net income was 10%/3% above BofAe/consensus
3Q26 results summary

NT$mn	**3Q26**	**QoQ %**	**YoY %**	**BofAe**	**Diff (%)**	**Consensus**	**Diff (%)**	**2Q26**	**3Q25**
Sales	59,089	20%	52%	57,107	3%	57,904	2%	49,121	38,937
Gross profit	20,010	25%	97%	18,834	6%	19,301	4%	15,999	10,172
Operating profit	16,856	25%	108%	15,693	7%	16,178	4%	13,478	8,085
Pretax profit	16,752	20%	104%	15,876	6%	16,389	2%	13,935	8,217
Net income	11,564	21%	117%	10,551	10%	11,222	3%	9,567	5,339
EPS (NT$)	29.32	21%	114%	27.04	8%	28.43	3%	24.26	13.68
Margin %									
Gross margin	33.9%	1.3 ppt	7.7 ppt	33.0%	0.9 ppt	33.3%	0.5 ppt	32.6%	26.1%
Operating margin	28.5%	1.1 ppt	7.8 ppt	27.5%	1.0 ppt	27.9%	0.6 ppt	27.4%	20.8%
Pre-tax margin	28.4%	0.0 ppt	7.2 ppt	27.8%	0.5 ppt	28.3%	0.0 ppt	28.4%	21.1%
Net margin	19.6%	0.1 ppt	5.9 ppt	18.5%	1.1 ppt	19.4%	0.2 ppt	19.5%	13.7%

Source: BofA Global Research estimates, company data, Bloomberg consensus

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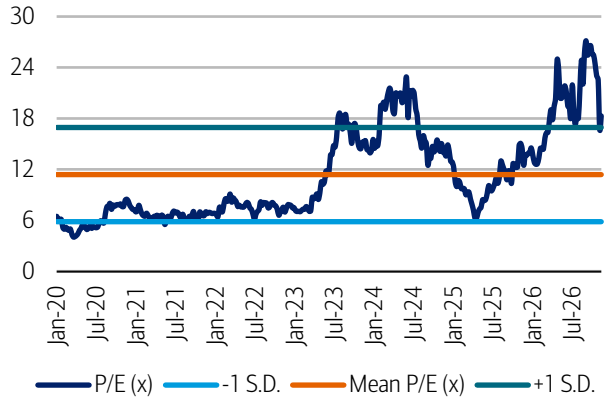
Exhibit 4: Fositek contributed 8%/11% of AVC's sales/net income in 3Q26, vs. 8-9%/9-12% in 1Q-2Q26 and 2-11%/2-18% in 2017-25
Fositek's sales/earnings contribution to AVC, 2017-3Q26

Contribution to AVC (%)	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	3Q26
Sales	3%	2%	2%	6%	11%	9%	10%	11%	9%	9%	8%	8%
Gross profit	7%	5%	4%	9%	14%	11%	11%	11%	9%	9%	8%	9%
Operating profit	8%	2%	1%	9%	17%	12%	12%	11%	9%	9%	8%	9%
Pretax profit	7%	5%	2%	10%	16%	13%	11%	12%	9%	10%	8%	9%
Net income	9%	3%	2%	11%	18%	14%	12%	15%	11%	12%	9%	11%
Fositek (NT$mn)												
Sales	813	692	865	2,223	5,020	5,014	5,644	8,188	12,414	4,184	3,740	4,502
Gross profit	231	181	174	582	1,193	1,166	1,318	1,827	3,270	1,352	1,273	1,712
Operating profit	95	15	17	289	809	775	881	1,197	2,524	1,120	1,043	1,460
Pretax profit	95	53	36	292	776	835	911	1,495	2,545	1,165	1,075	1,562
Net income	76	19	22	210	533	564	628	1,227	2,125	917	849	1,242
EPS (NT$)	3.71	0.91	1.00	6.25	9.29	9.33	10.18	17.90	31.00	13.38	12.39	18.11
Margin %												
Gross margin	28.4%	26.1%	20.1%	26.2%	23.8%	23.3%	23.3%	22.3%	26.3%	32.3%	34.0%	38.0%
Operating margin	11.7%	2.1%	2.0%	13.0%	16.1%	15.5%	15.6%	14.6%	20.3%	26.8%	27.9%	32.4%
Pre-tax margin	11.6%	7.7%	4.1%	13.1%	15.5%	16.7%	16.1%	18.3%	20.5%	27.9%	28.8%	34.7%
Net margin	9.4%	2.8%	2.5%	9.5%	10.6%	11.3%	11.1%	15.0%	17.1%	21.9%	22.7%	27.6%
AVC (NT$mn)												
Sales	27,109	29,067	36,534	39,666	47,333	56,017	59,194	71,761	139,639	49,038	49,121	59,089
Gross profit	3,331	3,447	4,314	6,232	8,386	10,850	12,388	16,870	36,034	14,597	15,999	20,010
Operating profit	1,154	719	1,259	3,280	4,827	6,306	7,421	10,823	27,556	12,019	13,478	16,856
Pretax profit	1,267	1,031	1,494	2,933	4,768	6,489	8,025	12,352	28,786	11,979	13,935	16,752
Net income	887	711	958	1,916	2,901	4,162	5,305	8,172	19,186	7,916	9,567	11,564
EPS (NT$)	2.5	2.0	2.7	5.4	8.2	11.8	14.1	21.2	49.2	20.07	24.26	29.32
Margin %												
Gross margin	12.3%	11.9%	11.8%	15.7%	17.7%	19.4%	20.9%	23.5%	25.8%	29.8%	32.6%	33.9%
Operating margin	4.3%	2.5%	3.4%	8.3%	10.2%	11.3%	12.5%	15.1%	19.7%	24.5%	27.4%	28.5%
Pre-tax margin	4.7%	3.5%	4.1%	7.4%	10.1%	11.6%	13.6%	17.2%	20.6%	24.4%	28.4%	28.4%
Net margin	3.3%	2.4%	2.6%	4.8%	6.1%	7.4%	9.0%	11.4%	13.7%	16.1%	19.5%	19.6%

Source: BofA Global Research, TEJ, company data

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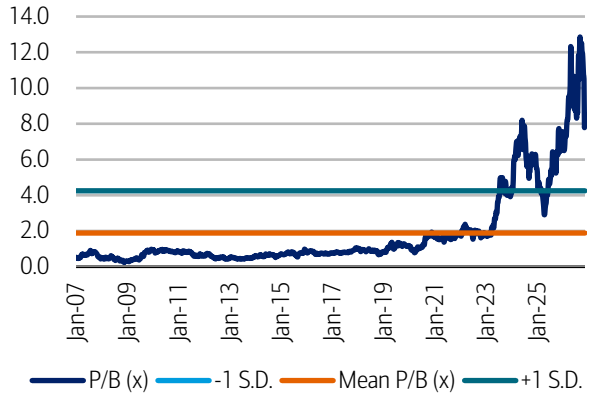
Exhibit 5: AVC's historical P/E trading average since 2020 is 11x
AVC's P/E trend and -1/+1 standard deviation since 2020



Source: BofA Global Research estimates, TEJ, Bloomberg

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Exhibit 6: AVC's historical P/B trading average since 2005 is 1.9x
AVC's P/B trend and -1/+1 standard deviation since 2005



Source: BofA Global Research estimates, TEJ, Bloomberg

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Exhibit 7: We model 2026-28E sales/net income CAGR at 30%/34%
Quarterly earnings summary, 2025-28E

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	49,038	49,121	59,089	70,188	72,718	74,161	82,194	89,963	89,536	92,449	98,148	104,000	139,639	227,436	319,036	384,133
Gross profit	14,597	15,999	20,010	23,854	24,829	25,439	28,385	31,165	30,955	32,044	34,204	36,334	36,034	74,461	109,818	133,537
Operating profit	12,019	13,478	16,856	19,994	20,612	21,137	23,864	26,217	25,672	26,589	28,805	30,718	27,556	62,346	91,830	111,785
Pretax profit	11,979	13,935	16,752	20,145	20,762	21,345	24,060	26,423	25,830	26,779	29,010	30,925	28,786	62,811	92,591	112,544
Net income	7,916	9,567	11,564	13,505	14,052	14,475	16,103	17,957	17,627	18,215	19,442	20,921	19,186	42,552	62,588	76,205
EPS (NT$)	20.07	24.26	29.32	34.24	35.63	36.70	40.83	45.53	44.69	46.18	49.30	53.05	49.17	107.89	158.69	193.22
Margin %																
Gross margin	29.8%	32.6%	33.9%	34.0%	34.1%	34.3%	34.5%	34.6%	34.6%	34.7%	34.8%	34.9%	25.8%	32.7%	34.4%	34.8%
Operating margin	24.5%	27.4%	28.5%	28.5%	28.3%	28.5%	29.0%	29.1%	28.7%	28.8%	29.3%	29.5%	19.7%	27.4%	28.8%	29.1%
Pretax margin	24.4%	28.4%	28.4%	28.7%	28.6%	28.8%	29.3%	29.4%	28.8%	29.0%	29.6%	29.7%	20.6%	27.6%	29.0%	29.3%
Net margin	16.1%	19.5%	19.6%	19.2%	19.3%	19.5%	19.6%	20.0%	19.7%	19.7%	19.8%	20.1%	13.7%	18.7%	19.6%	19.8%
QoQ %																
Sales	3%	0%	20%	19%	4%	2%	11%	9%	0%	3%	6%	6%				
Gross profit	16%	10%	25%	19%	4%	2%	12%	10%	-1%	4%	7%	6%				
Operating profit	20%	12%	25%	19%	3%	3%	13%	10%	-2%	4%	8%	7%				
Pretax profit	19%	16%	20%	20%	3%	3%	13%	10%	-2%	4%	8%	7%				
Net income	19%	21%	21%	17%	4%	3%	11%	12%	-2%	3%	7%	8%				
YoY %																
Sales	110%	66%	52%	47%	48%	51%	39%	28%	23%	25%	19%	16%	95%	63%	40%	20%
Gross profit	142%	121%	97%	89%	70%	59%	42%	31%	25%	26%	20%	17%	114%	107%	47%	22%
Operating profit	176%	165%	108%	100%	71%	57%	42%	31%	25%	26%	21%	17%	155%	126%	47%	22%
Pretax profit	159%	136%	104%	100%	73%	53%	44%	31%	24%	25%	21%	17%	133%	118%	47%	22%
Net income	146%	139%	117%	104%	78%	51%	39%	33%	25%	26%	21%	17%	135%	122%	47%	22%

Source: BofA Global Research estimates, company data

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Exhibit 8: Acronyms
Acronyms used throughout the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	EPS	Earnings Per Share	P/B	Price to Book
ASIC	Application-Specific Integrated Circuit	FX	Foreign Exchange	P/E	Price to Earnings
ASP	Average Selling Price	GM	Gross Margin	PC	Personal Computer
CAGR	Compound Annual Growth Rate	GPU	Graphic Processing Unit	PO	Price Objective
Capex	Capital Expenditure	Mgmt.	Management	RHS	Right Hand Side
CDU	Coolant Distribution Unit	NP	Net Profit	RMB	Renminbi (Chinese Yuan)
Cons	Consensus	NTD / NT$	New Taiwan Dollars	SD	Standard Deviation
CSP	Cloud Service Provider	OP	Operating Profit	USD / US$	US Dollars
Diff.	Difference	OPM	Operating Profit Margin		

Source: BofA Global Research

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Price objective basis & risk

Asia Vital Components (AVMPF)
Our PO of NT$3,650 is based on 23x 2027E EPS. We use 23x P/E multiple (2SD above P/E average since 2020) in view of AVC's double-digit sales/EPS CAGR in 2026-28E. We believe AVC's leading position in thermal/cooling component market and strong AI market demand will drive rising liquid cooling sales mix and ASP/margin increase.

Upside risks to our PO are: (1) stronger demand in AI server, server, PC, smartphone, (2) better operating leverage with larger revenue scale, (3) less intensive competition, (4) faster product certification, (5) faster capacity expansion, (6) favorable FX movement (USD/RMB and/or USD/NTD) to help on GM and/or non-operating items.

Downside risks to our PO are: (1) softer AI server demand due to GPU/component shortage, (2) weaker server/PC/smartphone market demand amid inflation/macro uncertainties, (3) GM pressure due to higher material/labor/utility cost, (4) more intensive competition, (5) delayed product certification, (6) slower capacity expansion, (7) unfavorable FX movement (USD/RMB and/or USD/NTD) to weigh on GM and/or non-operating items.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Accton	XTWOF	2345 TT	Doris Kao

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Kinwong	XDENF	603228 CH	Katherine Zhu
	Kinwong	XENZF	3228 HK	Katherine Zhu
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	Chenbro	CEOMF	8210 TT	Doris Kao
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

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Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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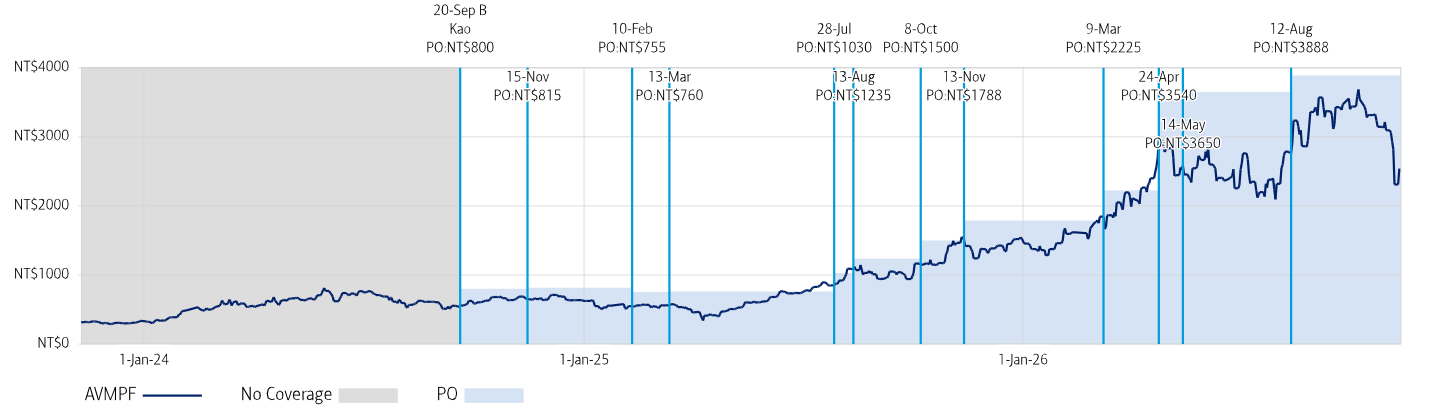
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Asia Vital Component (AVMPF) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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